

Tesla, Inc.  
TSLA NASDAQ

|      |                  |                              |                                      |                       |
|------|------------------|------------------------------|--------------------------------------|-----------------------|
| Hold | \$365.69 ▼ 0.58% | 12M Price Target<br>\$400.00 | 52-Week Range<br>\$297.38 – \$498.83 | Market Cap<br>\$1.44T |
|------|------------------|------------------------------|--------------------------------------|-----------------------|

TSLA: China Squeeze Meets EV Credit Cliff — Range-Bound

WHAT HAPPENED

- TSLA drifted down ~0.6% on notably light volume (16.8M vs. the usual 50–60M) — this isn't panic selling, it's just nobody wants to press bets ahead of the Q3 delivery number. The Zacks piece flagging China discounts is the tell: Tesla is cutting prices in China to defend share against BYD/Xiaomi, and the market is worried that means margins get worse even if unit sales look okay.
- Musk raised \$3B for The Boring Company — that's a sideshow for TSLA fundamentals, but it's a reminder that Musk's attention and capital are spread across five companies. Some investors read that as dilution of focus; others read it as Musk's ecosystem getting stronger. Net-net, neutral for the stock today.

WHY IT MATTERS

The China discount story is the one that actually matters here. Tesla is stuck between two bad options — cut prices and watch gross margins (the profit left after building the car) slide toward 15% from the mid-20s a few years ago, or hold prices and lose share to BYD, which is now selling comparable EVs for 30–40% less. Meanwhile, back home, the \$7,500 federal EV tax credit expired on September 30, 2025 under the Trump administration's "One Big Beautiful Bill," which means US buyers are effectively paying more for a Tesla than they were a year ago — that's a demand headwind that will show up in Q4 numbers. The bull case isn't about cars anymore; it's about whether the Austin robotaxi network scales and whether Optimus becomes real. If you're buying TSLA at \$365 today, you're paying for that future — the current car business alone doesn't justify a \$1.44T market cap.

POLICY & POLITICAL WATCH

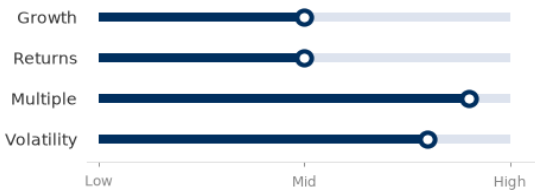
Three policy fronts to watch: (1) The EV tax credit is gone under the OBBB — that's a done deal and a headwind already priced in, but its full demand impact hits Q4 2026 and Q1 2027 numbers. (2) Trump's China tariff regime is a double-edged sword — it protects Tesla from BYD entering the US market, but Chinese retaliation and local "Buy Chinese" sentiment is hurting Tesla's Shanghai-made sales. (3) The CA/federal fight over autonomous vehicle rules is the real wildcard — if the administration pushes a federal preemption framework that overrides state-by-state robotaxi rules, Tesla's Full Self-Driving rollout accelerates dramatically. That's the underappreciated bull catalyst.

IS IT EXPENSIVE?

Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$365.69 |
| 12M Price Target    | \$400.00 |
| Upside / (Downside) | +9.4%    |
| Market Cap          | \$1.44T  |
| FY2026E Revenue     | \$108M   |
| FY2027E Revenue     | \$128M   |
| FY2026E EPS         | \$2.10   |
| FY2027E EPS         | \$2.95   |
| Fwd P/E             | 174.0x   |

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$400.00  | \$370.00  | \$340.00  |
| 6 Months  | \$460.00  | \$385.00  | \$300.00  |
| 1 Year    | \$520.00  | \$400.00  | \$280.00  |
| 2 Years   | \$650.00  | \$450.00  | \$250.00  |
| 5 Years   | \$900.00  | \$550.00  | \$200.00  |
| 10 Years  | \$1400.00 | \$700.00  | \$150.00  |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Communication Services (+0.55%) and Staples (+0.40%) — classic defensive rotation, which tells you the market is nervous about growth, not embracing it.

**COOLING OFF:** Consumer Discretionary (-0.09% today, -2.18% for the week) — this is TSLA's sector and it's leaking. High-ticket consumer purchases are getting punished as rate-cut optimism fades.

**ROTATION WATCH:** Money is quietly moving from cyclicals into defensives — that's a headwind for TSLA because it lives in the Discretionary bucket. Not a crash signal, but not a "back up the truck" signal either.

**RELATED PLAY:** If you're bullish on the robotaxi thesis, the picks-and-shovels play is Nvidia (chips for the training compute) and lidar/sensor names — though Tesla famously avoids lidar, the broader AV ecosystem gets a lift from any robotaxi validation.

WHO'S WINNING IN THIS SPACE?

- BYDDY (BYD): Winning the China EV war on price and scale — they're the reason Tesla is discounting.
- GM (General Motors): Ironically outperforming Tesla YTD because expectations were so low; their EV losses are narrowing while Tesla's margins are compressing.

**TSLA CONTEXT:** TSLA is at 34% of its 52-week range — meaning it's closer to the low (\$297) than the high (\$499). That's lagging both the broader market and its direct EV peers on a 3-month basis. When a stock sits in the bottom third of its range on light volume, it usually means sellers are exhausted but buyers aren't convinced yet — a coiled spring, but you need a catalyst to unwind it. Q3 deliveries in early October are that catalyst.

WHAT I'D DO WITH THIS STOCK

**6/10** Conviction Score

**Position Size:** 2-4% of portfolio

**Entry Points:** \$330-345 on China/margin fear days

**Time Horizon:** 12-24 months, robotaxi ramp is the catalyst

**Thesis Invalidation:** Auto gross margin drops below 12% or robotaxi rollout stalls

**Hedging:** Pair with a legacy automaker short (GM/F) or buy protective puts around earnings